

Contract Practice and Administration Part 4

MRICS & AIQS APC Coaching Programme

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Material on & Off site



Material On Site

- In accordance with the Contract
- Materials required for permanent works
- Materials listed in Appendix to Tender
- 80% of the cost determined by the Engineer
- Properly, Stored and Protected
- Maintaining proper records (Material inspections, delivery notes, invoices, LPOs)

Material Off Site

- In accordance with the Contract
- Materials required for permanent works
- Materials listed in Appendix to Tender
- 80% of the cost determined by the Engineer
- Shipped, in transit or in the verge of delivering to site.
- Bill of Lading or evidence of shipment
- Bank Guarantee similar to an advance payment guarantee Issued by an entity approved by the Employer
- Evidence of payment to freight and insurance
- Any other documents that are reasonably required (i.e. vesting certificate)

Material

Off site

Vesting Certificate.

- Vesting certificates ensure that materials in third-party agreements are not retained under the original supplier's title.
- These certificates designate materials, irrespective of their location, as the employer's property with title ownership.
- Vesting certificates offer less protection than advance payment bonds, particularly in security terms.
- In cases of supplier breach or insolvency, the employer's remedy is limited to contract breach damages, with a risk to the materials.
- Vesting certificates serve to Neutralize or invalidate legal claims or rights on materials by contractors or third parties, protecting the employer's interests.

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Retention

- **Retention** – money withheld by the Employer in accordance with the Contract,
- **Purpose** – to encourage the Contractor to rectify defects / or to take remedial actions to rectify defects if the Contractor fails to attend.
- **Applied on** – as per the contract. (refer to your contract, FIDIC 1987 and FIDIC 1999)
- **How retention is released** – as per FIDIC, 1st half of the retention upon issuance of the TOC for the works, 2nd half upon expiry of DNP.
- **Retention Bond** – Not addressed in FIDIC. Submitted by the Contractor to allow early release of retention. Subject to the provision available in the Contract.

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Change Management (Variations)

- **Change / Variations** – are changes to the **Works**, but not to the Contract.
- **Sources of variation** – Engineer's Instructions, RFI response, changes in drawings, changes in specifications, Employer's requirements, authority requirements, unforeseen site conditions etc.
- **Grounds of Variations** – refer 13.1 of FIDIC 1999 (Red book)

13.1
Right to Vary

Variations may be initiated by the Engineer at any time prior to issuing the Taking-Over Certificate for the Works, either by an instruction or by a request for the Contractor to submit a proposal.

The Contractor shall execute and be bound by each Variation, unless the Contractor promptly gives notice to the Engineer stating (with supporting particulars) that the Contractor cannot readily obtain the Goods required for the Variation. Upon receiving this notice, the Engineer shall cancel, confirm or vary the instruction.

Grounds of Variations – refer 13.1 of FIDIC 1999 (Red book) Contd....

- (a) changes to the quantities of any item of work included in the Contract (however, such changes do not necessarily constitute a Variation);
- (b) changes to the quality and other characteristics of any item of work;
- (c) changes to the levels, positions and/or dimensions of any part of the Works;
- (d) omission of any work unless it is to be carried out by others;
- (e) any additional work, Plant, Materials or services necessary for the Permanent Works, including any associated Tests on Completion, boreholes and other testing and exploratory work; or
- (f) changes to the sequence or timing of the execution of the Works.

The Contractor shall not make any alteration and/or modification of the Permanent Works, unless and until the Engineer instructs or approves a Variation.

Valuing a change – Be familiar with the change management procedure of your contract.

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Extension of Time EoT

- **Why EOT** – Contractor to avoid exposing to the liability of LD / To avoid Time at Large situation
- **Time at Large** – Situation when there is no specific completion date or no provision to extend time for completion in the Contract when Employer delays the project.
- **Prevention Principle** – legal principle which holds that a party to a contract cannot insist on the performance of an obligation by the other party if it has itself prevented or hindered that performance.

Key aspects

1. If the Employer causes delays or disruptions, preventing the Contractor from completing the work, the **Employer cannot enforce the Time for Completion**.
2. If Time is at large, the Constructor should complete the works **within a reasonable time**.
3. Employer **cannot apply liquidated damages** to the Contractor **if the Employer caused the delay**.

Case law ref. **Peak Construction (Liverpool) Ltd v McKinney Foundations Ltd [1970]**

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Extension of Time

EoT

- **Why EOT** – Contractor to avoid exposing to the liability of LD / To avoid Time at Large situation
- **Ground of EOT (Clause 8.4 of FIDIC 1999)**
 - (a) a Variation (unless an adjustment to the Time for Completion has been agreed under Sub-Clause 13.3 [*Variation Procedure*]) or other substantial change in the quantity of an item of work included in the Contract,
 - (b) a cause of delay giving an entitlement to extension of time under a Sub-Clause of these Conditions,
 - (c) exceptionally adverse climatic conditions,
 - (d) Unforeseeable shortages in the availability of personnel or Goods caused by epidemic or governmental actions, or
 - (e) any delay, impediment or prevention caused by or attributable to the Employer, the Employer's Personnel, or the Employer's other contractors on the Site.

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Extension of Time

EoT

Claim Procedure

Claim – a legitimate request for additional compensation of time or costs on account of a change or breach of the terms of contract

1. Refer to the contract – it specifies the instances and steps a contractor must take to file a claim for extra time (EOT).
2. Should a delay arise, the contractor to promptly notify Employer, as per the time frame in the contract.
3. After notification, the contractor to provide substantiation to support their claim
4. The extent of the claim depends on the level of information provided as substantiation.
5. Engineer to make fair determination

As per FIDIC 1999 (Red Book)

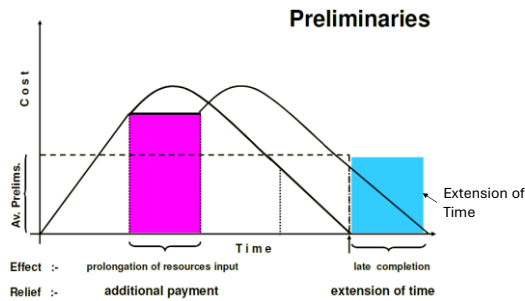
1. **Initial notice**– within 28 days of event awareness.
2. **Detailed particulars** – Submit within 42 days of awareness, ongoing until event conclusion; include all supporting documentation.
3. **Final particulars** – within 28 days post-event

Exceptionally adverse climatic conditions – Contractor will be entitled only for EOT, but not cost, Why? Beyond control of both the parties, where loss lies to both the parties. (Contractor – Prolongation costs, Employer – revenue loss.

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Extension of Time vs Prolongation costs.

Prolongation costs – Cost associated with EoT



Site overheads (preliminaries)

1. Staff (Engineer's, QS, Admin, PM, CM, Assistants)
2. Plant & Equipment (Crane, Scaffoldings)
3. Site facilities (portacabins, furniture, rest areas, welfare facilities etc.)
4. Site utilities (telephone, electricity, water, sewage disposal etc.)
5. Cost on insurances and bonds

Head office overheads (Not specific to a particular project/site)

1. Head office building/furniture etc.
2. Head office personnel (managers etc.)
3. Head office activities (marketing etc.)

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End of Part 4



Thank YOU

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